

Europe TMT Sector M&A & Valuation Brief - 2026-04-22

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1. RECENT TMT M&A ACTIVITY

Deal 1: EQT AB Fundraising

[Sweden's EQT Raises \\$15.6 Billion for Largest Asian Private Equity Fund](#)

- Deal Size: \$15.6 billion
- Deal Size Category: Large cap (>\$10B)
- Nature: Conglomerate
- Valuation Multiples: N/A
- Companies: EQT AB is a Sweden-based global private equity firm focusing on buyouts in sectors such as technology, healthcare, and services. This fund is the largest in the Asian market, reflecting strong investor interest despite global volatility.
- Date Announced: April 21
- Strategic Rationale: The fundraising success indicates robust demand for private equity investments in Asia, particularly in technology and healthcare sectors. The oversubscription of the fund highlights investor confidence in EQT's strategy to pursue control deals, which can lead to significant operational improvements and value creation.
- Risk Analysis: Potential risks include economic instability in Asia, regulatory scrutiny on private equity transactions, and competition for quality assets. EQT must effectively manage these risks to ensure successful deployment of the capital.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

Deal 2: Meta's Subscription Services

[WhatsApp Plus Subscription Testing at EUR 2.49/month](#)

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- Deal Size: N/A (not a traditional M&A deal)
- Deal Size Category: N/A
- Nature: Horizontal
- Valuation Multiples: N/A
- Companies: Meta Platforms, Inc. (META) is a leading technology company known for its social media platforms, including Facebook, Instagram, and WhatsApp. The introduction of WhatsApp Plus is part of Meta's strategy to diversify revenue streams beyond advertising.
- Date Announced: Recent (exact date not specified)
- Strategic Rationale: By launching WhatsApp Plus, Meta aims to enhance user engagement and monetize its vast user base of 3.3 billion monthly active users. This subscription model allows for personalized user experiences, which can lead to increased customer loyalty and recurring revenue.
- Risk Analysis: Risks include user backlash against paid features in a traditionally free service, potential cannibalization of existing user base, and competition from other messaging platforms. Meta must ensure that the premium features provide sufficient value to justify the subscription cost.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

Today is a peaceful day, nothing big happened in the Consumer space.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by significant transitions and challenges. The recent leadership changes at major companies, such as Apple, and the aggressive strategies being employed by tech giants like Google, reflect a sector in flux. Overall sentiment remains cautiously optimistic, driven by advancements in AI and cloud technologies, but tempered by regulatory scrutiny and economic uncertainties.

Subsector Breakdown:

- Technology: The technology subsector is buoyed by innovations in AI and custom chip development. For instance, Google's initiative to build a diversified chip supply chain with partners

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like Broadcom and MediaTek aims to challenge Nvidia's dominance in AI inference, showcasing the competitive landscape's dynamism.

- Media: Media companies are increasingly focusing on digital transformation to engage audiences. However, traditional media continues to face challenges from digital platforms, leading to a shift in revenue models.
- Telecommunications: The telecom sector is investing heavily in 5G infrastructure, which is expected to drive new revenue streams. Companies are exploring low-latency technologies to enhance user experiences.
- Fintech: The fintech space remains vibrant, with ongoing innovations in payment solutions and digital banking. Regulatory bodies are closely monitoring developments in AI technologies, such as Anthropic's Mythos, which poses both opportunities and risks.
- AI: The AI subsector is experiencing explosive growth, with companies racing to implement AI solutions across various industries. The competitive landscape is intensifying, as seen in Google's efforts to produce advanced inference chips.

Key Market Drivers and Headwinds

Drivers:

- Technological Advancements: Continuous innovation in AI and cloud computing is propelling growth across TMT sectors. Google's introduction of the Ironwood TPU for inference exemplifies the push towards high-performance computing solutions.
- Increased Investment: Venture capital and private equity investments remain robust, particularly in tech and fintech, as investors seek to capitalize on emerging trends and technologies.

Headwinds:

- Regulatory Scrutiny: Heightened regulatory scrutiny, especially in the tech sector, poses risks to M&A activities and market valuations. Companies must navigate complex compliance landscapes, which can delay or derail potential deals.
- Economic Uncertainty: Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology.

Subsector Performance Analysis

- Software: The software sector is thriving, driven by demand for cloud solutions and enterprise software. Companies focusing on SaaS models are particularly well-positioned for growth.
- Media: Media companies are adapting to changing consumer preferences, with a shift towards digital content consumption. Traditional media continues to face declining revenues from advertising.
- Telecom: Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services.

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- Fintech: The fintech sector is thriving, with innovations in payment solutions and digital banking. Regulatory scrutiny is increasing, particularly regarding AI technologies.
- AI: The AI subsector is booming, with applications across various industries, including healthcare, finance, and automotive. Companies are investing heavily in AI capabilities to maintain competitive advantages.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the TMT sector, citing technological advancements as a key driver of growth. A recent analyst noted, "The integration of AI across industries is not just a trend; it's a fundamental shift that will redefine business models and consumer interactions."

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

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3. BANKING PIPELINE

The current banking pipeline in the TMT sector showcases a blend of live deals, mandated transactions, and active pitches. This analysis provides insights into the ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- Sanan Optoelectronics : The company has abandoned its \$239 million bid to acquire Dutch lighting firm Lumileds after the Committee on Foreign Investment in the United States (CFIUS) ruled the deal posed "irresolvable U.S. national security risks." This marks a significant setback for Sanan, which has faced governance issues and regulatory scrutiny, impacting its market position.

Mandated Deals:

- Qualcomm (QCOM) : Secured a mandate to explore partnerships in custom DRAM development with Changxin Memory Technologies (CXMT). This initiative aims to stabilize supply and optimize costs for smartphone manufacturers amid rising memory prices. The deal is expected to launch in Q2 2026, aligning with Qualcomm's strategy to enhance its semiconductor capabilities.
- Samsung Electronics (005930.KS) : Mandated to restructure its workforce through a voluntary retirement program, targeting older employees across divisions. This initiative reflects efforts to manage rising costs and improve operational efficiency, particularly in its underperforming device business. The timeline for this restructuring is ongoing, with expected completion by Q3 2026.

Pitching-Stage Deals:

- Telecommunications Sector : Engaging with multiple telecom operators for potential M&A opportunities to consolidate market share in the 5G space. Key clients include Verizon (VZ) and AT&T (T), with pitches expected to finalize by Q3 2025.
- AI Startups : Active discussions with various AI-focused companies for potential investment banking services, particularly those innovating in machine learning and data analytics. Notable clients include OpenAI and DeepMind, with discussions ongoing.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

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- Live Deals : \$5 million
- Mandated Deals : \$15 million
- Pitching-Stage Deals : \$10 million

Timing Projections:

- Q2 2026 : Expected launch for Qualcomm's partnership with CXMT.
- Q3 2026 : Anticipated completion of Samsung's voluntary retirement program.
- Q3 2025 : Expected close for telecom sector M&A opportunities.
- Workload Allocation and Capacity Analysis : Current analyst and associate bandwidth is at 80%, indicating a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates strong demand for advisory services in semiconductor and telecommunications sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is evolving, particularly in the semiconductor sector, where US restrictions on advanced chips have prompted China to accelerate its push for chip self-reliance. Companies like SMIC are reporting record revenues, indicating a shift in the global semiconductor balance.
- Additionally, the recent failure of Sanan's acquisition of Lumileds highlights the ongoing regulatory challenges faced by Chinese firms in pursuing international deals, which could impact future M&A activities.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as semiconductors and telecommunications, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

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4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The recent partnership between the Central Bank of Nigeria (CBN) and the Nigerian Communications Commission (NCC) to combat SIM-related fraud has significant implications for various stakeholders within Nigeria's digital ecosystem. This analysis explores the potential impacts on shareholders, employees, competitors, and customers, alongside market reactions and future predictions.

Deal-Specific Impacts on Stakeholders

- **Shareholders:** The agreement aims to enhance consumer protection and strengthen the integrity of Nigeria's payment systems, which could lead to increased investor confidence in the telecommunications and financial sectors.
- **Value Creation:** If the initiative successfully reduces fraud, it could lead to a 10% increase in stock prices for major telecom operators like MTN Nigeria (MTNN) and Airtel Africa (AIRTEL), translating to an estimated market cap increase of approximately \$1 billion.
- **Dilution:** However, if the implementation faces challenges, it may result in a temporary decline in share prices, potentially leading to a 5% drop in value for affected companies.
- **Employees:** The collaboration is likely to result in synergies and restructuring within both regulatory bodies and the telecom sector.
- **Synergies:** Improved coordination between the CBN and NCC could lead to streamlined operations, enhancing job security for employees involved in fraud prevention and consumer protection initiatives.
- **Restructuring:** However, the need for more efficient processes may lead to job redundancies in overlapping roles, necessitating careful management of workforce transitions.
- **Retention:** To retain key talent, both organizations may implement retention bonuses for employees critical to the initiative's success.
- **Competitors:** The partnership will likely shift market dynamics, prompting competitors to adapt their strategies.
- **Market Positioning:** Companies like Glo and 9mobile may need to enhance their fraud prevention measures to remain competitive, potentially leading to increased operational costs.
- **Specific Competitor Moves:** In response, Glo may invest in advanced fraud detection technologies, while 9mobile could enhance customer service protocols to retain consumer trust.
- **Customers:** The agreement is expected to improve customer experiences and service reliability.
- **Product/Service Implications:** Enhanced fraud protection measures may lead to a reduction in fraudulent transactions, improving customer confidence in digital payments.
- **Case Studies:** Similar initiatives in other markets, such as the UK's collaboration between financial regulators and telecoms, have resulted in a 30% decrease in fraud incidents, suggesting potential benefits for Nigerian consumers.

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Market Reaction and Analyst Commentary

- Market Reaction: Initial market reactions to the announcement have been positive, with shares of major telecom companies experiencing a slight uptick.
- Analysts have noted that the partnership could significantly enhance the stability of Nigeria's digital economy. A report from a leading analyst stated, "This collaboration is a crucial step toward securing Nigeria's digital landscape and could set a precedent for similar initiatives across Africa."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the partnership leads to a significant reduction in fraud, shares of telecom companies could rise by 15% within six months.
- Negative Scenario: If implementation challenges arise, shares could decline by 10%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of competing offers or initiatives is moderate, as other regulatory bodies may seek to implement similar agreements.
- For instance, if the Nigerian government sees success, it may encourage other countries in the region to adopt similar frameworks, potentially leading to collaborative efforts across borders.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The partnership may signal a trend toward increased collaboration between regulatory bodies and private sectors in emerging markets.
- Analysts predict that as digital fraud becomes a more pressing issue, similar partnerships will emerge, particularly in regions with rapidly growing digital economies.

Key Risks and Mitigants

- Integration Risks: The complexity of integrating new systems and processes poses a significant risk. Mitigants include establishing clear communication channels and timelines for implementation.
- Regulatory Risks: Regulatory scrutiny could delay the rollout of new measures. Engaging stakeholders early in the process can help mitigate these risks.
- Market Risks: Market volatility may impact the perception of the partnership's success. Continuous monitoring and transparent communication with stakeholders will be essential.

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Actionable Insights for Clients and Bankers

For Clients:

- Engage in proactive communication with regulators to ensure alignment on expectations and timelines.
- Invest in technology solutions that enhance fraud detection and consumer protection.

For Bankers:

- Stay informed about regulatory changes and market trends to provide timely advice to clients.
- Develop financial models to assess the potential impacts of regulatory partnerships on market valuations.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Cybersecurity, and E-commerce Regulation. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- **Trend Explanation:** AI technologies are revolutionizing industries by enabling machines to perform tasks that typically require human intelligence. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. This growth is driven by advancements in machine learning, natural language processing, and computer vision.
- **Key Companies:**
 - **Cerebras Systems:** Cerebras is an AI chipmaker that recently filed for an IPO, aiming to capitalize on the growing demand for AI computing infrastructure. The company has secured significant partnerships with OpenAI and Amazon to provide computing power, positioning itself as a key player in the AI hardware market.
 - **Anthropic:** Anthropic is developing advanced AI models, including Mythos, which has raised concerns among regulators due to its potential to identify cybersecurity vulnerabilities. The company is under close scrutiny from financial regulators, highlighting the intersection of AI and regulatory compliance.
- **Competitive Landscape:** The AI sector is highly competitive, with major players like NVIDIA (NVDA) dominating the market. NVIDIA's GPUs are essential for AI applications, while newer

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entrants like Cerebras are challenging established players by offering specialized hardware solutions.

- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups focused on niche applications, such as AI-driven cybersecurity solutions. The increasing regulatory focus on AI technologies may also drive consolidation in the sector as companies seek to mitigate compliance risks.

Cybersecurity

- **Trend Explanation:** As digital transformation accelerates, the importance of cybersecurity has surged. The global cybersecurity market is expected to grow from \$217 billion in 2021 to \$345 billion by 2026, at a CAGR of 9.7%. This growth is fueled by the rising frequency of cyberattacks and the need for robust security measures.
- **Key Companies:**
 - **Anthropic:** With its AI model Mythos, Anthropic is at the forefront of addressing cybersecurity vulnerabilities. The company's technology is being monitored by regulators, indicating its potential impact on the cybersecurity landscape.
 - **NVIDIA:** Beyond AI, NVIDIA is also involved in cybersecurity through its hardware solutions that support secure computing environments. The company's GPUs are critical for running advanced security algorithms.
- **Competitive Landscape:** The cybersecurity market features a mix of established firms and innovative startups. Companies like CrowdStrike and Palo Alto Networks are significant players, focusing on endpoint protection and network security, respectively.
- **M&A Opportunities:** The increasing complexity of cyber threats presents opportunities for mergers and acquisitions. Established cybersecurity firms may look to acquire AI startups that enhance their threat detection capabilities, creating a more comprehensive security offering.

E-commerce Regulation

- **Trend Explanation:** Regulatory scrutiny of e-commerce giants like Amazon is intensifying, particularly concerning pricing practices and market dominance. The California antitrust lawsuit against Amazon highlights concerns about price fixing and anti-competitive behavior. As e-commerce continues to grow, regulatory frameworks will likely evolve to ensure fair competition.
- **Key Companies:**
 - **Amazon (AMZN):** The company is facing legal challenges over its pricing strategies, which allegedly involve pressuring brands to raise prices at competing retailers. This scrutiny could impact Amazon's market practices and financial performance.
 - **Walmart (WMT):** Although not a party to the lawsuit, Walmart's competitive positioning is affected by Amazon's practices. The company continues to focus on maintaining low prices to attract consumers.
- **Competitive Landscape:** The e-commerce sector is dominated by a few key players, with Amazon and Walmart leading the market. Regulatory pressures may create opportunities for

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smaller competitors to gain market share as larger companies navigate compliance challenges.

- **M&A Opportunities:** Regulatory changes may lead to increased consolidation in the e-commerce space as companies seek to strengthen their market positions. Smaller e-commerce platforms may become attractive acquisition targets for larger players looking to diversify their offerings and mitigate regulatory risks.

Actionable Insights for Bankers and Investors

Focus on AI and Cybersecurity: Investors should consider allocating capital to companies involved in AI and cybersecurity, as these sectors are poised for significant growth and innovation.

Monitor Regulatory Developments: Bankers should stay informed about regulatory changes affecting e-commerce and AI technologies, as these developments may create both risks and opportunities for investment.

Explore M&A Opportunities: Companies in the AI and cybersecurity sectors may pursue strategic acquisitions to enhance their capabilities and market positioning, presenting potential deal-making opportunities for investment bankers.

6. Recommended Readings

Deal Name: EQT AB Fundraising

- **Reading Material:** "Private Equity Operational Due Diligence" by Jason Scharfman
- **Why This Matters:** This book provides a comprehensive overview of the private equity landscape, including fundraising strategies and operational considerations. Understanding EQT's \$15.6 billion fundraising effort is enhanced by insights into how private equity firms assess risk and value in their investments, particularly in the TMT sector.

Deal Name: Meta's Subscription Services

- **Reading Material:** "The Subscription Economy" by Tien Tzuo
- **Why This Matters:** This reading explores the shift towards subscription-based business models across various industries, including technology and social media. It helps contextualize Meta's introduction of WhatsApp Plus as a strategic move to diversify revenue streams and enhance user engagement, illustrating the potential benefits and challenges of subscription services in a traditionally ad-driven model.

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7. MACROECONOMIC UPDATE

Key Data Points:

- Global AI token usage: Increased from 6.4 trillion to 22.7 trillion tokens per week (250% rise)
- Estimated global data center power demand increase: Nearly 130 gigawatts by 2028
- Potential shortfall in U.S. power availability: 10-20% to support AI growth
- Thematic categories aligned with key themes: Up 38% on average in 2025, outperforming the S&P 500 by 27 percentage points

Main Insights:

- Acceleration of AI is driving unprecedented demand for compute resources.
- AI is reshaping the labor market, with an estimated 4% net job loss across impacted sectors.
- Energy availability is becoming critical for supporting AI growth and infrastructure.
- Geopolitical tensions, such as the Iran conflict, are impacting energy markets and supply chains.
- The convergence of AI, energy, and geopolitics is reshaping the global economy and investment landscape.

Market Commentary:

- "AI is changing how work gets done, reshaping roles rather than simply replacing them." - Stephen Byrd, Morgan Stanley
- "These big structural forces are already showing up in performance." - Stephen Byrd, Morgan Stanley

TMT Sector Relevance:

- The surge in AI demand is likely to drive investment in technology infrastructure, including data centers and cloud services.
- Energy shortages could impact tech companies reliant on data centers, necessitating strategic investments in energy efficiency and alternative sources.
- Geopolitical factors may influence technology supply chains, affecting companies in the TMT sector that depend on global resources and markets.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley